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Presents



High Risk High Reward & Low Risk Decent Reward Strategies

27th July 2022, Thursday, 8pm ~ 10pm

NITISH NARANG

Founder & CEO: www.stockmock.in



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Nitish Narang



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Speaker Introduction



Nitish Narang

- Founder of **Stockmock** (www.stockmock.in)

Myself

- Techie & Entrepreneur by choice. Trader by chance.
- Over 10+ years of experience in Software Industry.
- Systematic Trader on Banknifty & Nifty strategies.
- My Job is majorly to talk to traders trading 1 Lot to 100s of Lots.



- First Intraday Backtesting Platform in India, launched in 2019
- Made Per Leg Stop Loss as Main Stream.
- Over 1.5 Lakh User Base. Grateful :)

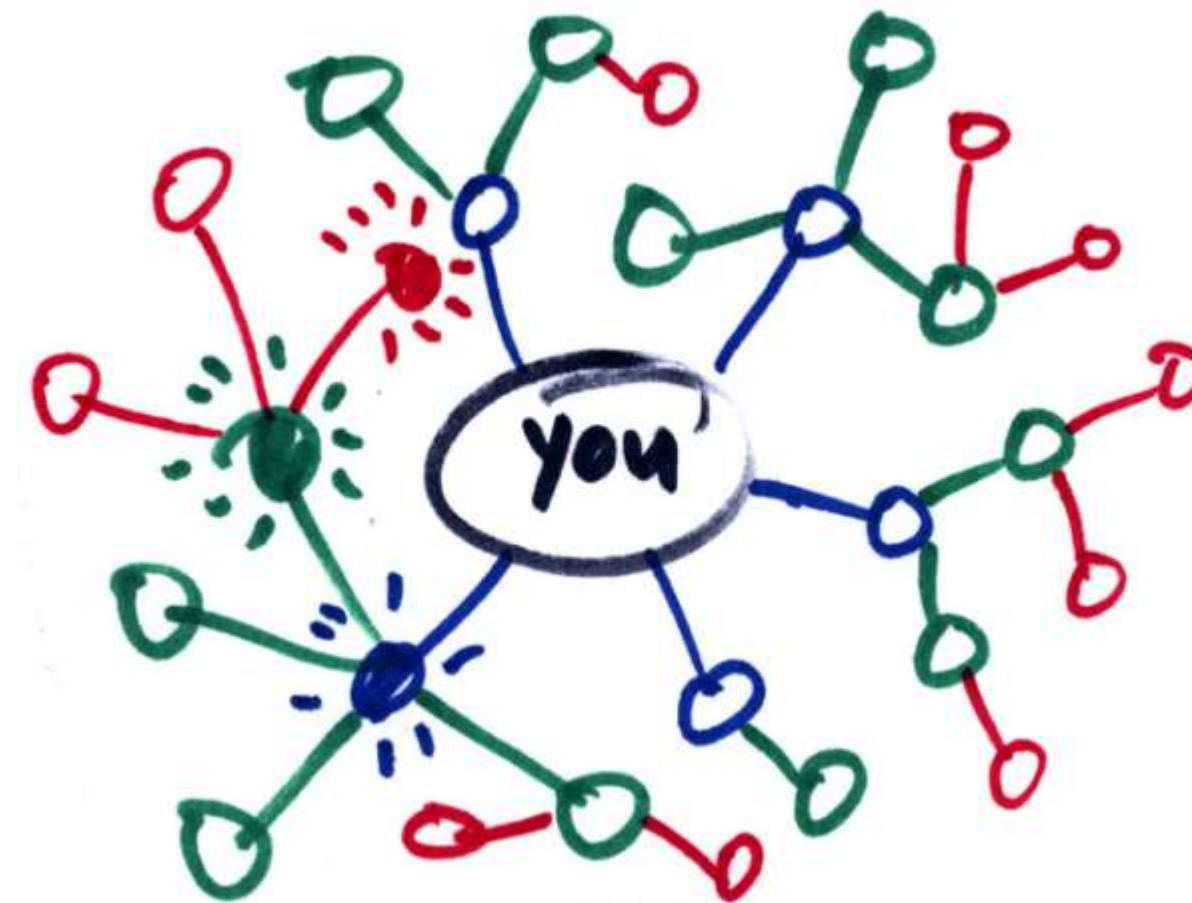
Today's Agenda

Basics

We all know Basics are important And we all forget Basics often ;)



So Let's only talk Basics today. We will go slowly and will keep connecting the Dots.



Prerequisite



Yes there is a prerequisite for today's session



And that is honest participation by answering all questions I raise today

Let's Start



Start With The End Goal In Mind

Sound Simple?



Wait. It is easier said than done. Let me explain

Simple Questions

1. How many people are looking for Holy Grail Strategy?



2. What's BASIC Problem with Holy Grail Strategy?

3. That, we tend to focus ONLY on RETURNS



Let's Dive Deeper

1. Is Focusing On Returns Bad? Of course Not.



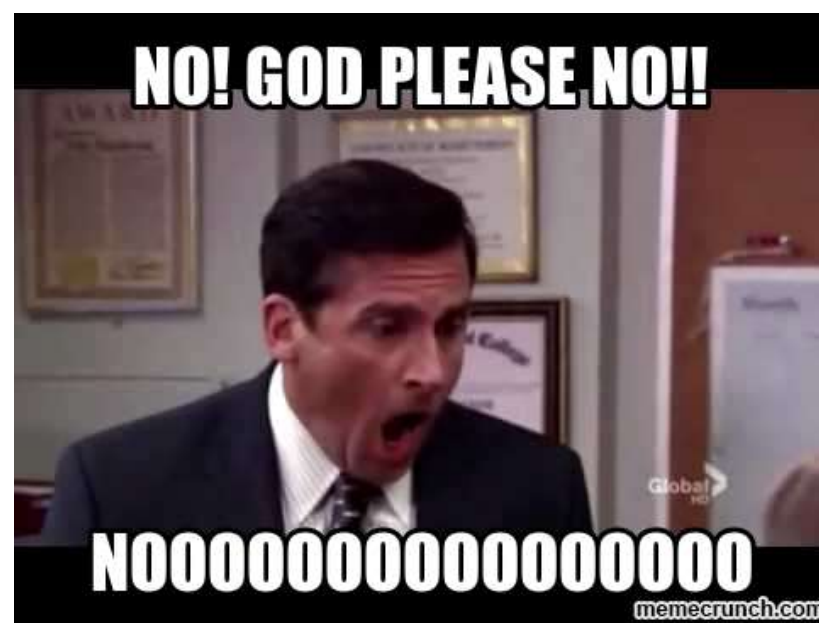
2. What's bad is not knowing that "THERE IS NO FREE LUNCH"



3. Every Strategy Comes with The Risk & with Risk comes Emotions.

4. Higher The Risk, Higher The Emotions.

high risk
high return



Emotions

1. Humans are emotional beings and we are bound to take emotional decisions
2. And we all know, that emotional decisions are majorly Short Lived & often give regrets later.
3. So, our primary job is to make sure that fewer emotions come into the picture while we are trading.
4. Can we conclude that “One who manages the emotions better is the one who has a higher chance of succeeding in this Trading Game“

What's the solution?

1. Simple..... Manage Emotions by Managing Risks you take while Trading.
2. It's a saying that "Better Trader is the one who manages Risk/ Emotion Better"
3. Prop Desk Trader (Arshit) recently said in our Podcast that:

"Our only responsibility in Trading is to manage Risk because Profit is something only Markets decide but Risk is something we decide"
4. Hence my END GOAL should be to MANAGE Emotions by Managing Risks I take.



Manage Risk

1. Managing Risk Means Managing The Loss That Are willing to Take on a Trade
2. Now here it becomes Tricky as Mind Starts to play the Game to gamble more to win more
3. Un-managed Risk on every trade compounded over time is a recipe for a Unsuccessful Trader

Various Ways of Managing Risk

1. There are lots of ways of managing Risk-like

- keeping Daily Stop Loss of 1%, 2%
- keeping shorter Stop Loss or Fixed Stop Loss Per Leg

But today we are going to talk about something more Basic on How to manage risk better

High Premium Trades

Quick Question:

Being an **Option Seller**, we want to capture maximum **Theta**.

But where is the maximum Theta found?

Is it in **OTM** or **ATM**?

Of Course ATM.

This means if we get our Trade in our favor then we are likely to make more money on ATM than OTM, right?

Very Important Question:

Based on the above info the ATM is likely to give more money than OTM Should you enter the trade?





Start with the End in Mind

1. What's our end goal? Is it Higher Profit or Is it to Manage Risk?

2. This means this info is not sufficient to take a call because we have not talked about Risk yet.

And here comes the interesting part.

3. Risk is based on Premium. Higher the Premium, more the Risk.

4. And we know for a fact that ATM premium > OTM Premium



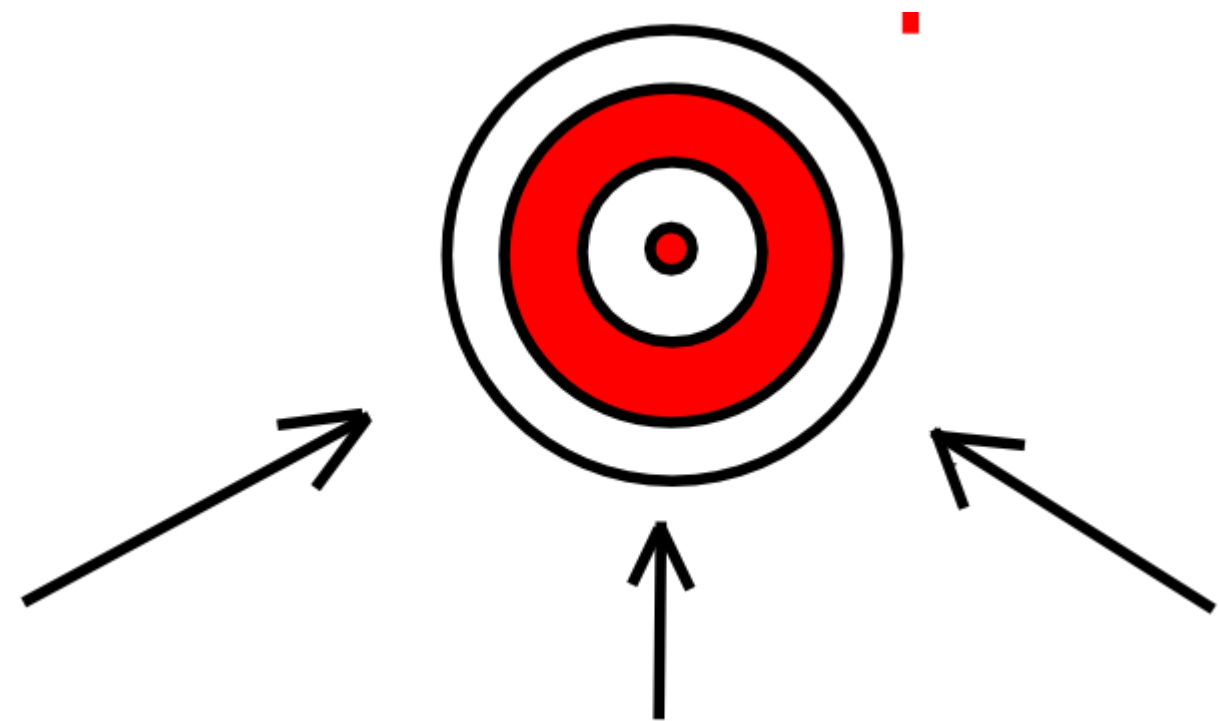
Confusion? What to do?

There will always be this confusion

- Theta is highest at ATM, so the reward will be higher but because of the high Premium Risk is also High
- Theta is not that high on OTM but premiums are less so Risk is controlled.

The reason with which you Enter the Trade will determine whether you are Long Term Trader or Short Term Trader

- Nitish Narang



Sweet Spot

1. Start Trading with OTM & see how your emotions are playing with you. Manage them.
2. Once Comfortable you can try moving towards ATM slowly and gradually.
3. With time You will surely find the sweet spot where you are comfortable trading.

And that's the best part because it is personal to you & you have decided that as no one knows you better than you do.

Let's see strategies in action

1. Start observing carefully that how your mind can trick you in Greed aspect by looking ONLY at Profits
2. Trading in ATMs are always lucrative but when it starts to give Pain, it is Tough to manage Emotions

3. Time for Practical Examples



Mistakes

We all do mistakes.....

We all must learn from them but it's always better to learn from other people's mistakes.

Observe



Listen



Learn



In this noisy environment, where we feel everyone else is earning and we are not. It is almost important to remind ourselves of Basics

Because of this reason, we started the “Stockmock Podcast” series where traders share their real experience & learning how they deal with their trading issues, and what are the dos & don'ts in the market.

Questions & Answers

Lets clear your confusions?





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Sell	209,000	₹ 20	₹ 37.8
Loss	1,000		

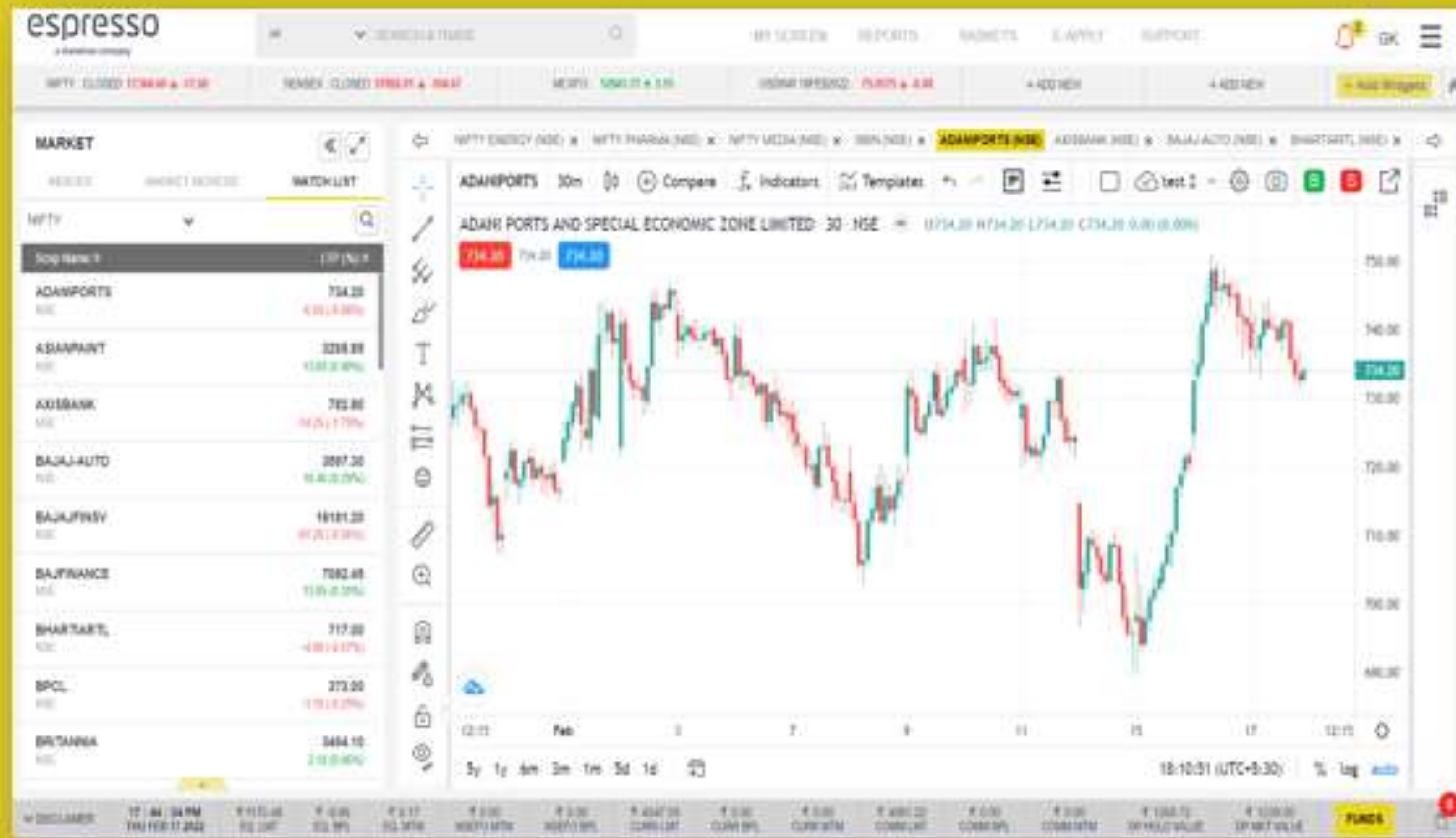
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The screenshot displays the Espresso trading platform. On the left, a 'MARKET' section lists various scrips with their current prices and changes. The main area features a 'POSITION' tab with a table showing open and closed positions for different scrips. The table includes columns for Scrip Name, Net Qty, Net Rate, Total MTM, Total BPL, Today MTM, Today BPL, Settled MTM, Buy Value, and Sell Value. A summary row at the bottom of the table shows the total open and closed positions and their respective values.

Scrip Name	Net Qty	Net Rate	Total MTM	Total BPL	Today MTM	Today BPL	Settled MTM	Buy Value	Sell Value
MINDALCO	1	597.00	23.50	0.00	23.50	0.00	0.00	597.00	0.00
MINDALCO	1	596.15	22.35	0.00	22.35	0.00	0.00	596.15	0.00
SBIL	0	0.00	0.00	-4.75	0.00	-4.75	0.00	441.45	436.70
SBIL	0	0.00	0.00	1.30	0.00	2.50	0.00	877.50	880.00
BANKNIFTY 28Apr2022	25	33177.70	-4942.50	0.00	-4942.50	0.00	0.00	829442.50	0.00
BANKNIFTY 31Mar2022	-25	33645.10	4036.75	0.00	4036.75	0.00	0.00	0.00	406002.50
NIFTY 28Apr2022	30	16275.00	16212.00	0.00	16640.00	0.00	-1627.00	0.00	0.00
NIFTY 31Mar2022	30	16221.00	-17680.00	0.00	-16537.50	0.00	1657.50	0.00	0.00
Total			176.00	-2.25	55.40	-2.25	-230.00	831096.60	826803.00

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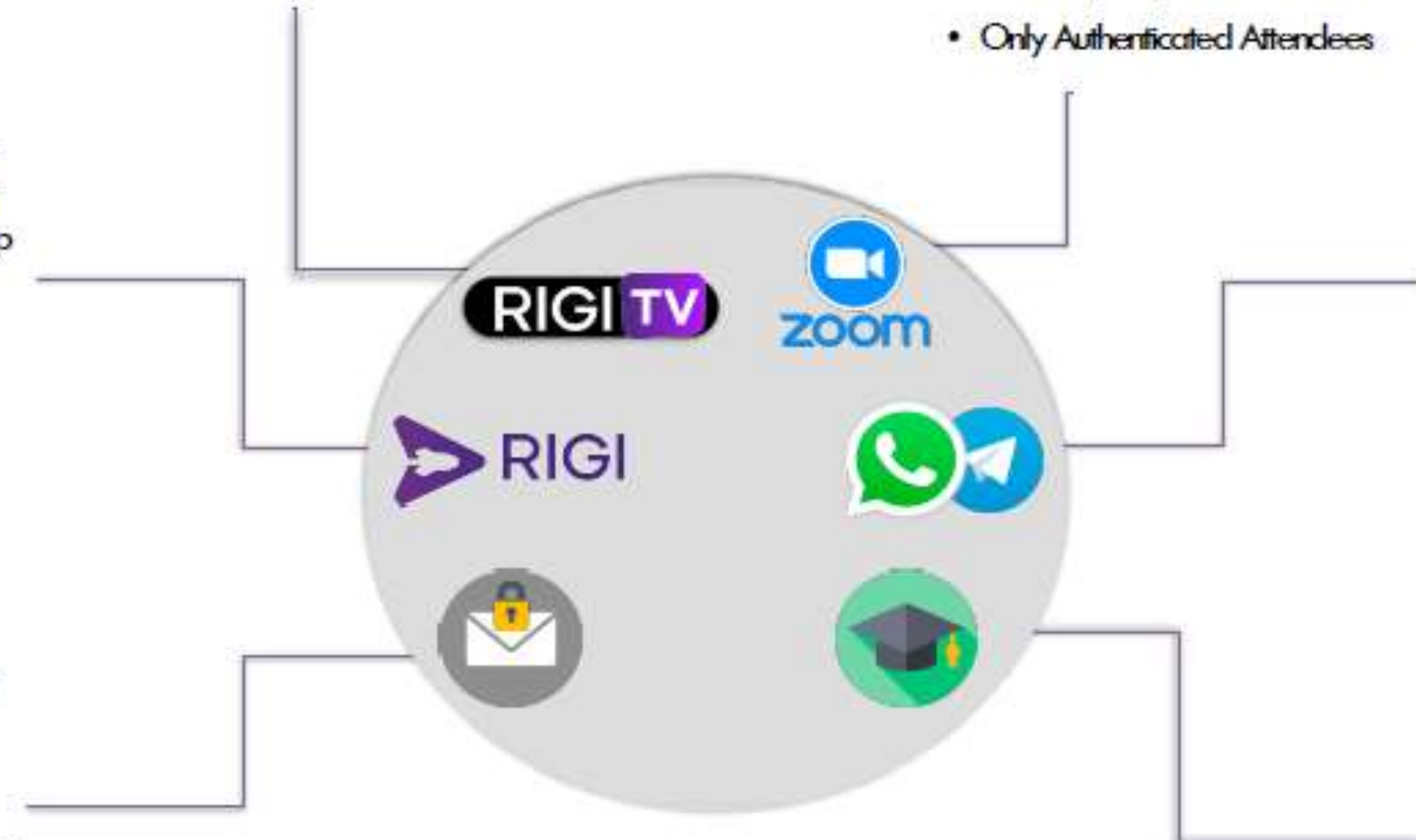
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7th Quiz of the Series

Delta neutral trades are hedged when the total position delta equals

_____.

- A. +100
- B. -100
- C. zero

Winner Reward

1. Daily one winner will be selected.
2. All the 12 winners of each day will have free access to the Intrazon event of 2022 with life time recording access
3. There is a **Man of the Option Omega Series award** for 1 winner who should win at least 3 times in the 12 day series.
4. He will get **Educational goodies worth 100000/-** from Traders Gurukul

Quiz 06 - Winner

Long call options have _____ deltas.

- A. Positive
- B. Negative



Anil Kumar Gosh

The Answer is *Positive*

Questions & Answers

Lets clear your confusions?





Thank you

Nitish Narang

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